



The Morning Brief

MAY 5, 2026

Inflection Point

Fear & Greed reaches neutral for the first time since the conflict began in late February as Trump launches Operation Project Freedom in Hormuz and AMD reports tonight.

SPY	BRENT CRUDE	GOLD	BITCOIN	FEAR & GREED
\$718.01 ↓0.37%	~\$120 ↑5.0%	~\$4,560 ↓2.0%	~\$79,000 ↑2.1%	50 · Neutral

SECTION 01

Markets

FEAR & GREED REACHES NEUTRAL — THE WAR'S SENTIMENT OVERHANG HAS LIFTED

The most significant signal in Monday's data is not in the price action but in the sentiment gauge. Fear & Greed reached 50—neutral—for the first time since the conflict began February 28. The index has traveled from 8 at the March nadir through Extreme Fear, Fear, and now neutral in approximately nine weeks. The improvement reflects genuine institutional repositioning rather than retail enthusiasm: Goldman reported \$86 billion in hedge fund buying in mid-April, and the move from 31 to 50 over the past two weeks suggests accelerating allocation. Monday's session itself was modestly negative: SPY slipped 0.37%, the Dow fell 1.10% (557 points), the Nasdaq dipped 0.19%, and the Russell declined 0.50%. Oil surged as the primary catalyst: Brent jumped 4.99% and WTI gained 3.37% after Trump launched Operation Project Freedom in the Strait of Hormuz. Energy (+0.92%) was the only sector in the green. Tuesday premarket is up approximately 0.34%.

DIGITAL SLEEVE LEADS AGAIN — COIN +6.14%, HOOD +3.92%

The digital asset cohort was Monday's top-performing sleeve. COIN surged 6.14% to \$202.99, HOOD gained 3.92% to \$76.55, and MARA added 3.23%. Bitcoin is trading near \$79,000, up 2.09% via IBIT, with Ethereum gaining 2.01% via ETHA. VST, one of the Q2 additions, rose 3.59% on continued AI power demand. FTNT added 3.42%, recovering further from the zero-day vulnerability selloff in mid-April. On the downside, AMD fell 5.27% to \$341.54 ahead of tonight's Q1 earnings report—options are pricing an 8% post-earnings move, per TipRanks. QCOM declined 4.88% to \$168.38 in sympathy. CRDO, one of the newest holdings, slipped 2.34%. The semi sleeve's pre-earnings positioning

reflects profit-taking after the Intel-driven surge two weeks ago rather than a fundamental deterioration.

OIL SURGES ON OPERATION PROJECT FREEDOM — THE HORMUZ FIGHT IS NOW KINETIC

Trump launched Operation Project Freedom on Monday, a US military operation to escort neutral shipping through the Strait of Hormuz, per CNN and NPR. The US Navy sank six Iranian small boats that were targeting civilian vessels during the operation. A South Korean cargo ship, HMM Namu, suffered an explosion and fire in its engine room during transit—Trump characterized it as an Iranian attack; the crew was uninjured and the vessel is being towed for repairs, per the South China Morning Post. The UAE reported coming under attack from Iran for the first time since the ceasefire

began in April. Brent surged 4.99% and WTI gained 3.37% as the Hormuz situation shifted from a diplomatic standoff to active naval combat. Gold fell 2.00% and silver dropped 3.44% —the precious metals sell off when the dollar strengthens on escalation, consistent with the inverted safe-haven dynamic observed throughout the conflict.

FEAR & GREED	50 · NEUTRAL · First time since Feb 28
BRENT CRUDE	↑4.99% · Operation Project Freedom launched
AMD	\$341.54 · ↓5.27% · Reports Q1 tonight after close
COIN	\$202.99 · ↑6.14% · Digital sleeve leads
KOREAN SHIP	HMM Namu explosion in Hormuz · Crew safe

Fear & Greed at neutral means the market has fully absorbed the war. Not resolved it—absorbed it. The conflict continues, oil is surging, and Hormuz is an active combat zone. But the positioning overhang that drove the March selloff has cleared. From here, the catalysts shift from geopolitical repricing to fundamental earnings delivery. AMD tonight is the first test. Think Like an Owner.

Geopolitics

OPERATION PROJECT FREEDOM — THE US MOVES FROM BLOCKADE TO ESCORT

Trump’s Operation Project Freedom represents a material shift in the US posture in the Strait. Rather than blockading Iranian ports, the US is now actively escorting neutral commercial vessels through the waterway under military protection. The operation’s first day included sinking six Iranian boats and the HMM Namu incident. The tactical shift from blockade to escort is significant: it acknowledges that closing the Strait entirely is unsustainable and pivots toward maintaining partial flow under military cover. The ceasefire’s status is now ambiguous—Trump declined to confirm whether it remains in place—but the practical effect is that some commercial shipping is moving through Hormuz for the first time in weeks with active US naval support. For energy markets, the escort operation may stabilize supply expectations even as the kinetic risk elevates in the short term.

UAE UNDER ATTACK — THE CONFLICT’S REGIONAL REACH PERSISTS

The UAE reported coming under attack from Iran for the first time since the April ceasefire took hold, per NPR. Seoul is reviewing Trump’s Hormuz navigation plan after the explosion on the Korean-operated ship. The rupee hit a record low on renewed US-Iran tensions. The regional economic toll continues to mount: the UAE’s non-oil private sector growth slowed as the war weighs on activity, per Reuters PMI data. Europe’s gains on positive earnings were partially offset by Middle East concerns. The conflict is now in its tenth week with no clear resolution framework, but the

market’s F&G reading of 50 suggests it has been priced into asset valuations even as the human and economic costs continue to accumulate.

PROJECT FREEDOM	US escorts ships through Hormuz · 6 Iranian boats sunk
UAE	Under attack from Iran for first time since ceasefire
KOREAN SHIP	HMM Namu explosion · Crew safe · Being towed
CEASEFIRE	Status ambiguous · Trump declined to confirm
RUPEE	Record low on renewed tensions

On Our Radar

1. AMD reports Q1 tonight after the close — the most consequential IOWN earnings event of the quarter. Consensus is approximately \$1.28–\$1.30 EPS on \$9.84 billion revenue, with data center expected at \$5.56 billion (+52% year-over-year). Options are pricing an 8% post-earnings move. AMD fell 5.27% Monday on pre-earnings positioning after the 14% Intel-driven surge two weeks ago. The data center revenue figure is the critical metric: a clean beat validates the AI infrastructure thesis that underpins IOWN's entire semiconductor sleeve. Gross margin guidance at 55% is the secondary watch point. *Research Reveals Opportunities.*

2. The Fed held rates at 3.50–3.75% at its April 29 meeting; the next decision is June 16–17. The market currently prices one to two small cuts later in 2026, with some forecasters pushing expectations to September or later. The April hold acknowledged elevated inflation driven in part by global energy prices, while noting that economic activity continues to expand at a solid pace. March core CPI at 2.6% was below estimates, providing some room for eventual easing, but the energy shock's persistence constrains the Fed. Rate-sensitive IOWN holdings (NEE, BKH, ATO) would benefit from any dovish signal at the June meeting. *Think Like an Owner.*

3. Fear & Greed at neutral shifts the analytical framework from recovery to sustainability. Below neutral, the positioning tailwind supports prices as underweight institutions add exposure. At neutral, the bid from positioning normalization is largely complete, and further upside requires fundamental earnings delivery and/or geopolitical resolution. The market is no longer cheap on a sentiment basis. AMD tonight and the FOMC this week are the first tests of whether the index can hold at these levels on fundamentals alone. **Simplicity Over Complexity.**

4. Operation Project Freedom may establish a new equilibrium for Hormuz oil flow. If the US can sustain military escorts for neutral shipping, the effective supply disruption narrows from total closure to selective Iranian-port blockade. Analysts have estimated the war risk premium in Brent at \$14–\$18 per barrel; successful escort operations could compress the upper end of that range even as the conflict continues. The energy sleeve (CVX, VLO, OKE, CTRA, CNX) benefits from elevated absolute prices but faces compression risk if the escort operation proves durable. *Avoid Erosion.*

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